

ones, new bureaucrats inherit ideas from the old bureaucrats... this generational change is difficult. [But] we have made a lot of progress.

When in 1994 I talked about a new tiger on the block... [and] 5-7% growth, we were on the defensive even talking about growth because it was not seen as something [that was needed]; redistribution was seen as what we needed.... Politically, I think it was only under Atal Bihari Vajpayee [who] as PM said that we need double-digit growth to combat India's poverty. So that took time.

I think we have made a lot of progress but by no means [have] conquered the influence of the Nehru era. I think that's going to remain [a] work in progress... At the state level, we are seeing a huge resurgence of giveaways... freebies. In almost every election, there is competition among parties to bring in more programmes of giveaways. And that ultimately impacts capital expenditure. State level capital expenditure has certainly been impacted by the promises of these giveaways... no matter which party wins, in the end we see these giveaways being added on to what already exists.

136 |

Q: Are cash transfers and giveaways becoming a concern for our long-term fiscal health? What can be done to correct course given that all the spending hinges on higher tax revenues?

A: Yes, there is some concern because if you look at the state level, you certainly see the impact on capital expenditures and there I think is largely the worry. I am personally not against cash transfers; frankly I was among the early ones [pitching for it]... going back to my first book, *India: The Emerging Giant*...

What is different now in these programmes is that these are not targeted transfers... we are identifying very large groups, all women, for example, and that is fiscally more demanding, even when you do transfers of ₹1,000 per month per person... Eventually, once we have acquired GDP in the range of \$8-10 trillion, then we can afford those transfers. But in today's time, capital expenditure is the need of the hour.

Q: There is a debate on the issue of slowing public capital expenditure and the need for much higher levels of private sector investment. Given the emerging international trade order, what does it mean for India's economy in the short to medium term?

A: On private investment, I think we need a bit more clarity... If you look at total fixed investment as a proportion of GDP, that has steadily risen from what was about 28-29% immediately post-Covid... Today, it

